

Of less frequent and perhaps unique deviations from the standard patterns, the variety is almost endless.³ We shall mention here only the glaring instance of Great Northern Railway Preferred Stock which for many years has been in all respects a plain common issue; and also the resort by Associated Gas and Electric Company to the insidious and highly objectionable device of bonds convertible into preferred stock *at the option of the company* which are, therefore, not true bonds at all.

More striking still is the emergence of completely distinctive types of securities so unrelated to the standard bond or stock pattern as to require an entirely different set of names. Of these, the most significant is the option warrant—a device which during the years prior to 1929 developed into a financial instrument of major importance and tremendous mischief-making powers. The option warrants issued by a single company—American and Foreign Power Company—attained in 1929 an aggregate market value of more than a *billion dollars*, a figure exceeding our national debt in 1914. A number of other newfangled security forms, bearing titles such as allotment certificates and dividend participations, could be mentioned.⁴

The peculiarities and complexities to be found in the present day security list are added arguments against the traditional practice of pigeonholing and generalizing about securities in accordance with their *titles*. While this procedure has the merit of convenience and a certain rough validity, we think it should be replaced by a more flexible and accurate basis of classification. In our opinion, the criterion most useful for purposes of study would be the *normal behavior* of the issue after purchase—in other words its risk-and-profit characteristics as the buyer or owner would reasonably view them.

New Classification Suggested. With this standpoint in mind, we suggest that securities be classified under the following three headings:

³ The reader is referred to Appendix Note 3 of the first edition of this work for a comprehensive list of these deviations, with examples of each. To save space that material is omitted from this edition.

⁴ In June 1939 the S.E.C. set a salutary precedent by refusing to authorize the issuance of "Capital Income Debentures" in the reorganization of the Griess-Pfleger Tanning Company, on the ground that the devising of new types of hybrid issues had gone far enough. See S.E.C. Corporate Reorganization Release No. 13, dated June 16, 1939. Unfortunately, the court failed to see the matter in the same light and approved the issuance of the new security.